



MEMO FOR BROKERS – 2012-012

To : The Investing Public

Subject : Publication of Disciplinary Actions

Date : 19 October 2012

In compliance with the requirement under the Rules of the Capital Markets Integrity Corporation ("CMIC") to publish violations of the said Rules and other securities laws by Trading Participants ("TPs"), including the sanctions imposed thereon, after the same has been affirmed by the CMIC Board or upon the TP's failure to elevate the same to the CMIC Board within the required period via a request for reconsideration, CMIC attaches to this memorandum the following documents:

1. Summary of Audit Findings and Sanctions on TPs subject of the Annual Regulatory Audit as of 19 October 2012 (**Annex "A"**);
2. Summary of Audit Findings and Sanctions on TPs subject of Spot Audit as of 19 October 2012 (**Annex "B"**); and
3. Summary of Investigation Findings and Sanctions against TPs as of 19 October 2012 (**Annex "C"**).

For information and guidance.


ANTONIO GARCIA, JR.
President and Chief Executive Officer

ANNEX "A"

AUDIT FINDINGS AND SANCTIONS (REGULAR AUDIT)

	TRADING PARTICIPANT	RULE/S VIOLATED	SANCTION/S IMPOSED	STATUS
1	Evergreen Stock Brokerage & Securities, Inc.	Art. VIII, Sec. 2(A.2)(a)(a.1)(iii) of the CMIC Rules in relation to SRC Rule 49.2 for failing to maintain the required deposit in its Special Reserve Bank Account.	Fine in the amount of PhP/10, 000.00.	Final and executory.
		Art. VIII, Sec 2(A)(A.5) of the CMIC Rules in relation to SEC Memorandum Circular No. 16, series of 2004 by failing to include non suspended or delisted marketable securities in the computation of Risk Based Capital Adequacy Requirement/Ratio ("RBCA").	Written Reprimand.	Final and executory.
2	BDO Securities Corporation	Art. IX, Sec. 1 (k) of the CMIC Rules by failing to maintain correct entries in some of its Order Tickets found during the review period 1 April 2011 to 31 March 2012.	Written Reprimand.	Final and executory.
		Art. VIII, Sec. 2(A.4) of the CMIC Rules in relation to SEC Memorandum Circular 16, Series of 2004 by understating the Operational Risk Requirement.	Written Reprimand.	Final and executory.
3	A.T. De Castro Securities Corporation	Art.VIII, Sec. 2 (A.2)(a)(a.1)(iii) of the CMIC Rules in relation to SRC Rule 49.2 by failing to maintain the required deposit in its Special Reserve Bank Account.	Fine in the amount of PhP/10, 000.00.	Request for reconsideration denied by the CMIC Board.

		Art. VIII, Sec (2)(B)(3)(d) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books & Records Rule) by failing to update Deferred Tax Liability for the months of February & March 2012.	Written Reprimand.	Final and executory.
		Art. VIII, Sec. 2 (B)(3)(d) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books & Records Rule) by failing to maintain a logbook for customer complaints.	Written Reprimand.	Final and executory.
		Art. IX, Sec. 1 of the CMIC Rules in relation to SRC Rule 34.1, specifically Segregation and Limitations & Functions of Members, Brokers & Dealers, due to the finding that the Order Tickets of directors/officers reflected that the same were for client accounts instead of proprietary account.	Written Reprimand.	Final and executory.
		Art. VII, Sec. 1 of the CMIC Rules, due to the finding that most of the Customer Account Information Forms ("CAIFs") were deficient.	Written Reprimand.	Final and executory.
		Art. IX, Sec. 1 (j) of the CMIC Rules (Books & Records Rule) for failing to provide daily "short" sell transaction or system generated list of daily "short positions."	Written Reprimand.	Final and executory.
4	Eastern Securities Development Corporation	Art. VIII, Sec. 2(A2)(a)(a.2) of the CMIC Rules due to failure to compute RBCA on a daily basis.	Fine in the amount of PhP/10, 000.00.	Final and executory.
		Art. IX, Sec. 1 of the CMIC Rules due to failure to make, keep current and maintain in its principal office the	Written Reprimand.	Final and executory.

		following books and records relating to its business.		
		Art. IX, Sec. 3 of the CMIC Rules for failure to finalize the Annual Audited Financial Reports of Trading Participants within the prescribed period.	Written Reprimand.	Final and executory.
		Art. VIII, Sec. 2(2.6)(A.1)(a.1)(viii) of the CMIC Rules due to failure to compute properly the aggregated indebtedness by not deducting Deferred Tax Liability on the computation.	Written Reprimand.	Final and executory.
5	Securities Specialists, Inc	Art. VIII, Sec. 2 of the CMIC Rules and SEC Memo Circular 16 of 2004 due to failure to compute the ORR properly.	Written Reprimand.	Final and executory.
		Art. VIII, Sec. 2 of the CMIC Rules due to failure to Compute the LERR properly.	Written Reprimand.	Final and executory.
6	Salisbury BKT Securities Corporation	Art. VIII, Sec. 2 of the CMIC Rules in relation to SEC Memo Circular 16 of 2004 for not using the audited FS in the computation in the ORR.	Written Reprimand.	Final and executory.
		Art. VIII, Sec. 2 of the CMIC Rules in relation to SEC Memo Circular 16 of 2004 for failing to compute the PRR for not including in the computation the dollar accounts.	Written Reprimand.	Final and executory.
7	RCBC Securities, Inc.	Art. IX of the CMIC Rules in relation to SRC Rule 52.1.1.A because the passbook account was under the Former name of the company.	Written Reprimand.	Final and executory.
8	Angping & Associates Securities,	Art. VII, Sec. 19 of the CMIC Rules for not computing	Fine in the amount of	Final and executory.

	Inc.	reserve fund weekly instead of monthly computation.	PhP/10, 000.00.	
		Art. VIII, Sec. 2 of the CMIC Rules for failure to compute RBCA in a daily basis.	Fine in the amount of PhP/10, 000.00.	Final and executory.
		Art. VII, Sec. 4 of the CMIC Rules due to delay in order time stamping.	Written Reprimand.	Final and executory.
		Art. VII, Sec. 1 of the CMIC Rules for not updating CAIF annually.	Written Reprimand.	Final and executory.
		Art. VII, Sec. 1 of the CMIC Rules for incomplete information found in CAIF.	Written Reprimand.	Final and executory.
9	Investors Securities, Inc.	Art. VIII, Sec. 2 of the CMIC Rules in relation to SEC Memo Circular No. 16 of 2004 for including suspended and delisted marketable securities has still value in the RBCA computation.	Written Reprimand.	Final and executory.
10	Tower Securities, Inc.	Art. VII, Sec. 4 of the CMIC Rules due to delay in order time stamping.	Written reprimand.	Final and executory.
		Art. VII, Sec. 1 of the CMIC Rules due to failure to update active clients annually.	Written Reprimand.	Final and executory.

		Art. IX, Sec. 1 of the CMIC Rules on Securities Record or Ledger due to variance found between records and PDTC report for securities.	Written Reprimand.	Final and executory.
		Art. VIII, Sec. 2 of the CMIC Rules in relation to SEC Memo Circular No. 16 of 2004 for failure to include in the computation of Aggregated Indebtedness the Deferred Tax Liability.	Written Reprimand.	Final and executory.
11	Ansaldo, Godinez & Company, Inc.	Art. IX, Sec. 1 of the CMIC Rules (Books and Records Rule) due to failure to present the right amount for Receivable from Clearing house.	Written Reprimand.	Final and executory.
		Art. IX, Sec. 1 of the CMIC Rules (Books & Records Rule) in view of checks found to be long overdue and un-deposited from client.	Written Reprimand.	Final and executory.
		Art. IX, Sec. 1 of the CMIC Rules (Books & Records Rule) due to failure to reverse in the books long outstanding stale checks.	Written Reprimand.	Final and executory.
		Art. IX, Sec. 1 of the CMIC Rules (Books & Records Rule) due to variance found in the Aging of receivable.	Written Reprimand.	Final and executory.
		Art. IV, Sec. 5.2 of the CMIC Rules for having a short selling for one day.	Written Reprimand.	Final and executory.
		Art. IV, Sec. 2 of the CMIC Rules (Registration of Salesmen and Associated Persons of Trading	Written Reprimand.	Final and executory.

		Participants) for failure to present SEC licenses and PAM certificates and ID.		
12	UCPB Securities, Inc.	Art. VII, Sec. 1 of the CMIC Rules (Customer Protection) for not updating CAIF annually.	Written Reprimand.	Final and executory.
		Art. VIII, Sec. 2 of the CMIC Rules in relation to SEC Memo Circular No. 16, Series of 2004, due to failure to compute exposure on a per customer basis but on a per total that's why no amount of ADA was reflected in the sheet.	Written Reprimand.	Final and executory.
		Art. VIII, Sec. 2 of the CMIC Rules in relation to SEC Memo Circular No. 16, Series of 2004, due to failure to compute the Credit Risk Requirement on a per customer basis for account balances aged T+4 to T+13 and T+14 to T+30, which have exposures with credit risk factor of 8% and 100%, respectively.	Written Reprimand.	Final and executory.
13	Coherco Securities, Inc.	Art. IX of the CMIC Rules in relation to SRC Rule 52.1 (Books & Records Rule) due to variance found between the system generated Trial Balance ("TB") and TB found in the RBCA template.	Written Reprimand.	Final and executory.
		Art. VII, Sec. 1 of the CMIC Rules for failure to update CAIF annually.	Written Reprimand.	Final and executory.
		Art. VIII, Sec. 2 of the CMIC Rules in relation to SEC Memo Circular No. 16, Series of 2004, for failure to compute the right valuation of securities for valuation.	Written reprimand.	Final and executory.

		Art. VIII, Sec. 2 of the CMIC Rules in relation to SEC Memo Circular No. 16, Series of 2004, for failure to compute the ORR properly.	Written Reprimand.	Final and executory.
		Art. VIII, Sec. 2 of the CMIC Rules in relation to SEC Memo Circular No. 16, Series of 2004, for failure to compute the RBCA on a daily basis.	Written Reprimand.	Final and executory.
14	Astra Securities Corporation	Art. VII, Sec. 12(a) of the CMIC Rules for sending monthly statements of account to clients only with transactions for the current month.	Fine in the amount of Php/10,000.00.	Final and executory.
15	BA Securities, Inc.	Art. IX, Sec. 1 of the CMIC Rules, for the discrepancy between the Customer Receivable per TB and the Aging.	Written reprimand.	Final and executory.
16	Goldstar Securities, Inc.	Art. VII, Sec. 4(a) of the CMIC Rules, for not time-stamping Order Tickets.	Written reprimand.	Final and executory.
17	Imperial, De Guzman, Abalos, and Company, Inc.	Art. VIII, Sec. 2(2.6)(A)(A.2)(c)(c.5) of the CMIC Rules for failing to include negative exposure in the computation of Ineligible Assets.	Written reprimand.	Final and executory.
18	B. H Chua Securities Corporation	Art. IX, Sec. 1 and 2 of the CMIC Rules, specifically, Books and Record Rule for using unadjusted Cash balances in the RBCA Computation.	Written reprimand.	Final and executory

19	David Go Securities Corporation	SRC Rule 49.2 on Customer Protection Reserves for erroneous recording of collection.	Written reprimand.	Final and executory
		Art. IX, Sec. 1(a) and Art. IX, Sec. 2 of the CMIC Rules for having an un-updated System Generated Trial Balance.	Written reprimand.	Final and executory.
		Art. IX, Sec. 1(a) and Art. IX, Sec. 2 of the CMIC rules, specifically Books and Records Rule by failing to revert stale checks and the related liability was correspondingly not included in the Aggregate Credit items.	Fine in the amount of Php10,000.00.	Final and executory.
		Art. VIII, Sec. 2(2.6)(A)(A3) of the CMIC Rules, specifically on deferred income tax for adding instead of deducting Deferred Tax Asset in the computation of Eligible Assets for Net Liquid Capital	Written reprimand.	Final and executory.
		Art. VIII, Sec. 2 (2.6)(A)A.3(c)(c.5) of the CMIC Rules, specifically on valuation of marketable securities	Fine in the amount of Php10,000.00.	Final and executory.

ANNEX "B"

AUDIT FINDINGS AND SANCTIONS (SPOT AUDIT)

	TRADING PARTICIPANT	RULE/S VIOLATED	PENALTY/IES IMPOSED	STATUS
1	BDO Securities Corporation	Art. IX, Sec. 1(b) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to update the account balances.	Written reprimand and directive to keep records updated/reconciled and ensure the integrity of the reported account balances.	Final and executory
2	Citisecurities, Inc.	Art. VIII-A, Sec. 2.6(A)(A.5) of the CMIC Rules (Capitalization Requirements of Trading Participants) in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to update securities classification according to Equities in PSEi and outside PSEi.	Written reprimand and directive to keep records updated/reconciled and ensure the integrity of the reported account balances.	Request for Reconsideration was granted by the CMIC Board.
3	Golden Tower Securities & Holdings, Inc.	Art. IX, Sec. 1(j) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to designate the correct account of the security in the PDTC.	Written reprimand and directive to ensure the integrity of the reported account balances.	Final and executory
4	King's Power Securities, Inc.	Art. IX, Sec. 1 (b) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to update the account balances.	Written reprimand and directive to ensure the integrity of the reported account balances.	
		SEC Memorandum Circular No. 7, series of 2006 (Rules on Securities Borrowing and Lending) for transferring of client share to principal account to settle a principal	Written reprimand and fine in the amount of	

	TRADING PARTICIPANT	RULE/S VIOLATED	PENALTY/IES IMPOSED	STATUS
		trade.	Php/25,000.00.	
		Art. VIII-A, Sec. 2.6(A)(A.4) of the CMIC Rules (Capitalization Requirements of Trading Participants) in relation to SEC Memorandum Circular No. 16 Series of 2004 re: Adoption of the Risk Based Capital Adequacy Requirement/Ratio (RBCA) for Brokers/Dealers for failure to use the latest audited figures.	Written reprimand and directive to comply with the requirements of the rule, i.e., to use the latest audited revenue figures in computing the ORR.	
5	Luy's Securities Company, Inc.	Art. IX, Sec. 1 (j) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to designate the correct account of the security in the PDTC.	Written reprimand and directive to ensure the integrity of the reported account balances.	Final and executory
6	Nieves Sanchez, Inc.	Art. IX, Sec. 1 (b) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to update the account balances.	Written reprimand and directive to ensure the integrity of the reported account balances.	Final and executory
		Art. VIII-A, Sec. 2.6(A)(A.4) and (A.6) of the CMIC Rules (Capitalization Requirements of Trading Participants) in relation to SEC Memorandum Circular No. 16 Series of 2004 re Adoption of the Risk Based Capital Adequacy Requirement/Ratio (RBCA) for Brokers/Dealers for failure to use the latest audited figures and failure to recognize the risk required.	Written reprimand and directive to ensure the integrity of the reported account balances and to comply with the requirements of the rule, i.e., to use the latest audited revenue figures in computing the ORR.	Final and executory

	TRADING PARTICIPANT	RULE/S VIOLATED	PENALTY/IES IMPOSED	STATUS
7	Phil-Progress Securities Corp.	Art. VIII-A, Sec. 2.6(A)(A.4) of the CMIC Rules (Capitalization Requirements of Trading Participants) in relation to SEC Memorandum Circular No. 16 Series of 2004 re: Adoption of the Risk Based Capital Adequacy Requirement/Ratio (RBCA) for Brokers/Dealers for failure to use the latest audited figures.	Written reprimand and directive to comply with the requirements of the rule, i.e., to use the latest audited revenue figures in computing the ORR.	Final and executory
8	PNB Securities, Inc.	Art. VIII-A, Sec. 2.6(A)(A.5) of the CMIC Rules (Capitalization Requirements of Trading Participants) in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to update securities classification according to Equities in PSEi and outside PSEi.	Written reprimand and directive to ensure the integrity of the reported account balances.	Request for Reconsideration granted by the CMIC Board.
9	R & L Investments, Inc.	Art. VIII-A, Sec. 2.6(A)(A.4) of the CMIC Rules (Capitalization Requirements of Trading Participants) in relation to SEC Memorandum Circular No. 16 Series of 2004 re: Adoption of the Risk Based Capital Adequacy Requirement/Ratio (RBCA) for Brokers/Dealers for failure to use the latest audited figures.	Written reprimand and directive to comply with the requirements of the rule, i.e., to use the latest audited revenue figures in computing the ORR.	Final and executory
10	RCBC Securities, Inc.	Art. IX, Sec. 1 (j) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to designate the correct account of the security in the PDTC.	Written reprimand and directive to ensure the integrity of the reported account balances.	Final and executory
11	UPCC Securities Corporation	Art. IX, Sec. 1 (b) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to update the account balances.	Written reprimand and directive to ensure the integrity of the reported account balances	Final and executory

	TRADING PARTICIPANT	RULE/S VIOLATED	PENALTY/IES IMPOSED	STATUS
12	Value Quest Securities Corporation (Keppel)	Art. VIII-A, Sec. 2.6(A)(A.7) of the CMIC Rules (Capitalization Requirements of Trading Participants) in relation to SEC Memorandum Circular No. 16 Series of 2004 re: Adoption of the Risk Based Capital Adequacy Requirement/Ratio (RBCA) for Brokers/Dealers for failure to recognize the risk required.	Written reprimand and directive to comply with the requirements of the rule, i.e., to recognize a direct exposure to a single equity if the exposure related to such equity exceeds 10% of the TP's core equity.	Final and executory
13	Vicsal Securities & Stock Brokerage, Inc.	Art. VIII-A, Sec. 2.6(A)(A.6) (c) of the CMIC Rules (Capitalization Requirements of Trading Participants) in relation to SEC Memorandum Circular No. 16 Series of 2004 re: Adoption of the Risk Based Capital Adequacy Requirement/Ratio (RBCA) for Brokers/Dealers for inappropriate amount used as collateral.	Written reprimand and directive to ensure the integrity of the reported account balances.	Final and executory
14	Yu and Company, Inc.	Art. IX, Sec. 1(o), par. 2 of the CMIC Rules in relation to SRC Rule 28.1-1 (Registration of Broker Dealer) on ineffective accounting system.	Written reprimand and directive to ensure the integrity of the reported account balances and adopt an effective accounting system.	Final and executory
15	Regina Capital Development Corporation	Art. VII, Sec. 19, par. 4 of the CMIC Rules (Customer Protection) in relation to SRC Rule 49.2.4 (Special Reserve Bank Account for the Exclusive Benefit of Customers) for failure to deposit the required reserve.	Fine in the amount of PhP/10,000.00 and directive to observe timely deposit as required by the rules.	Final and executory

	TRADING PARTICIPANT	RULE/S VIOLATED	PENALTY/IES IMPOSED	STATUS
16	Cualoping Securities Corporation	Art. VII, Sec. 19, par. 4 of the CMIC Rules (Customer Protection) in relation to SRC Rule 49.2.4 (Special Reserve Bank Account for the Exclusive Benefit of Customers) for failure to deposit the required reserve.	Fine in the amount of PhP/10,000.00 and directive to observe timely deposit as required by the rules.	Final and executory
17	Optimum Securities Corporation	Art. VII, Sec. 19, par. 4 of the CMIC Rules (Customer Protection) in relation to SRC Rule 49.2.4 (Special Reserve Bank Account for the Exclusive Benefit of Customers) for failure to deposit the required reserve.	Fine in the amount of PhP/10,000.00 and directive to observe timely deposit as required by the rules.	Final and executory
18	Alpha Securities Corporation	Art. VIII-A, Sec. 2.6(A)(A.4) of the CMIC Rules (Capitalization Requirements of Trading Participants) in relation to SEC Memorandum Circular No. 16 Series of 2004 re: Adoption of the Risk Based Capital Adequacy Requirement/Ratio (RBCA) for Brokers/Dealers for failure to use the latest audited figures.	Written reprimand and directive to comply with the requirements of the rule, i.e., to use the latest audited revenue figures in computing the ORR.	Final and executory
19	Bernad Securities, Inc.	Art. IX, Sec. 1(b) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to update the account balances.	Written reprimand and directive to keep records updated and ensure the integrity of the reported account balances.	Final and executory

	TRADING PARTICIPANT	RULE/S VIOLATED	PENALTY/IES IMPOSED	STATUS
20	Campos, Lanuza & Company, Inc.	Art. IX, Sec. 1(b) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to update the account balances.	Written reprimand and directive to keep records updated and ensure the integrity of the reported account balances.	Final and executory
21	Eastern Securities Development Corp.	Art. IX, Sec. 1(b) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to update the account balances.	Written reprimand and directive to keep records updated and ensure the integrity of the reported account balances.	Final and executory
22	Goldstar Securities, Inc.	Art. VII, Sec. 19, par. 4 of the CMIC Rules (Customer Protection) in relation to SRC Rule 49.2.4 (Special Reserve Bank Account for the Exclusive Benefit of Customers) for failure to update the customer account balances that resulted to a deficiency of the reserve account.	Written reprimand and directive to keep records updated and ensure the integrity of the reported account balances.	Final and executory
23	Jaka Securities Corporation	Art. IX, Sec. 1(b) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to update the account balances.	Written reprimand and directive to keep records updated and ensure the integrity of the reported account balances	Final and executory
24	Optimum Securities Corporation	Art. IX, Sec. 1(b) of the CMIC Rules in relation to SRC Rule 52.1-1 (Books and Records Rule) for failure to update the account balances.	Written reprimand and directive to keep records updated and ensure the integrity of the reported	Final and executory

	TRADING PARTICIPANT	RULE/S VIOLATED	PENALTY/IES IMPOSED	STATUS
			account balances.	
25	Securities Specialists, Inc.	Article VIII-C, Sec. 2 of CMIC Rules (Capitalization Requirements of Trading Participants) for failure to meet the minimum requirement for unimpaired paid-up capital as of May 2012.	Fine in the amount of PhP/75,000.00 and directive to infuse additional capital to meet the minimum requirement.	Request for Reconsideration denied by the CMIC Board; SEC appeal pending.
26	Securities Specialists, Inc.	Article VIII-C, Sec. 2 of CMIC Rules (Capitalization Requirements of Trading Participants) for failure to meet the minimum requirement for unimpaired paid-up capital as of June 2012.	Fine in the amount of PhP/75,000.00 and directive to infuse additional capital to meet the minimum requirement.	Final and executory

ANNEX "C"

INVESTIGATION FINDINGS AND SANCTIONS

	TRADING PARTICIPANT	RULE/S VIOLATED	PENALTY/IES IMPOSED	STATUS
1	I. Ackerman & Company, Inc. ("IAC")	Art. X-B, Sec. 1(h) of the Amended Market Regulation Rules on unauthorized disposition of client's securities	Written reprimand and fine in the amount of PhP/25,000.00.	Complainant appealed to the Securities and Exchange Commission ("SEC").
2	Accord Capital Equities Corporation ("ACEC")	Art. VI, Sec. 1(b)(ii)(a) and (b) of the CMIC Rules for failing to: (1) take all reasonable steps to promptly execute its client's orders; and (2) execute its client's orders on the best available terms.	Fine in the amount of PhP/20,000.00.	Final.
3	Nieves Securities, Inc. ("NSI")	Art. VII, Sec. 1 of the CMIC Rules for failure to obtain a new account information for one of the parties to a joint account.	Fine in the amount of PhP/30,000.00.	CMIC Board denied NSI's Request for Reconsideration.
		Art. XI-B, Secs. 2 and 8 of the CMIC Rules, in relation to Securities Regulation Code ("SRC") Rule 24.1(b)-1, requiring a Trading Participant ("TP") to inform CMIC in writing its knowledge or suspicion of a client's transactions which possibly constitute Unusual Trading Activities, Trading Related Irregularities or other violations of Securities Laws.	Written reprimand and fine in the amount of PhP/200,000.00.	
		Art. VI, Sec. 1 of the CMIC Rules for NSI's failure to show substantial proof that it engaged its clients in a face to face meeting and fully sought information about their financial situations, investment experiences, and investment objectives.	Fine in the amount of PhP/30,000.00.	

	TRADING PARTICIPANT	RULE/S VIOLATED	PENALTY/IES IMPOSED	STATUS
4	Tower Securities, Inc. ("TSI")	Art. XI-B, Secs. 2 and 8 of the CMIC Rules, in relation to Securities Regulation Code ("SRC") Rule 24.1(b)-1, requiring a Trading Participant ("TP") to inform CMIC in writing its knowledge or suspicion of a client's transactions which possibly constitute Unusual Trading Activities, Trading Related Irregularities or other violations of Securities Laws.	Written reprimand and fine in the amount of PhP/200,000.00.	CMIC Board denied TSI's Request for Reconsideration.
		Art. VI, Sec. 1 of the CMIC Rules for TSI's failure to show substantial proof that it engaged its clients in a face to face meeting and fully sought information about their financial situations, investment experiences, and investment objectives.	Fine in the amount of PhP/30,000.00.	
5	HDI Securities, Inc. ("HSI")	Art. XI-B, Secs. 2 and 8 of the CMIC Rules, in relation to Securities Regulation Code ("SRC") Rule 24.1(b)-1, requiring a Trading Participant ("TP") to inform CMIC in writing its knowledge or suspicion of a client's transactions which possibly constitute Unusual Trading Activities, Trading Related Irregularities or other violations of Securities Laws.	Written reprimand and fine in the amount of PhP/200,000.00.	CMIC Board denied HDI's Request for Reconsideration.
		Art. VI, Sec. 1 of the CMIC Rules for HDI's failure to show substantial proof that it engaged its clients in a face to face meeting and fully sought information about their financial situations, investment experiences, and investment objectives.	Fine in the amount of PhP/30,000.00.	

	TRADING PARTICIPANT	RULE/S VIOLATED	PENALTY/IES IMPOSED	STATUS
6	Sunsecurities, Inc. ("SSI")	Art. V, Sec. 2, par. C of the CMIC Rules for failure to exercise due diligence in determining its clients' financial situations, investment objectives, experiences and risk tolerance.	Fine in the amount of PhP/30,000.00.	CMIC Board denied SSI's Request for Reconsideration.